Code No: 126EJ **R13**

JAWAHARLAL NEHRU TECHNOLOGICAL UNIVERSITY HYDERABAD
B. Tech III Year II Semester Examinations, February - 2023
MANAGERIAL ECONOMICS AND FINANCIAL ANALYSIS
(Common to ECE, CSE, MMT)

Time: 3 hours **Max. Marks: 75**

Note: i) Question paper consists of Part A, Part B.
ii) Part A is compulsory, which carries 25 marks. In Part A, Answer all questions.
iii) In Part B, Answer any one question from each unit. Each question carries 10 marks and may have a, b as sub questions.

PART - A

(25 Marks)

1.a) What is law of diminishing marginal utility? [2]
b) What is the nature of cross elasticity for i) substitutes and ii) complements? [3]
c) When input factors are not perfect substitutes what is the shape of isoquant? [2]
d) What is semi-fixed or semi-variable costs? Explain with examples. [3]
e) What is duopoly? [2]
f) What is the minimum number of people to form a private limited company? What is the maximum number? [3]
g) What is profitability index? [2]
h) What are the items constituting working capital? [3]
i) Define interest coverage ratio. [2]
j) State under what headings (Personal, Real or Nominal) would you classify the following accounts: Patents account, insurance unexpired and salary prepaid a/c. [3]

PART - B

(50 Marks)

2.a) What are the areas of decision making in business where managerial economics is of great use?
b) Distinguish 'extension and contraction of demand' versus 'increase and decrease in demand' [5+5]

OR

3.a) Assume that the average price of one of the models of car in a particular city is Rs. 5,50,000 and 90,000 cars are sold at this price in a year. If the price elasticity of demand for this model of car is 1.7, what will be the effect on sales when the average price of this model declines to Rs. 4,50,000?
b) State the law of demand and briefly explain it. [5+5]

4.a) Why is short run average cost curve U shaped?
b) What are the properties of isoquant? [5+5]

OR

5.a) Distinguish between:
i) Prime costs and supplementary costs and ii) Real cost and opportunity cost.
b) Discuss the cost output relationship in the long run. [5+5]

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6.a) What is a perfect competition? What are its features?
b) Bring out the difference between monopoly and monopolistic market. [5+5]

OR

7.a) What is a public enterprise? What are the different types of public enterprises? Discuss.
b) Examine the methods of pricing. [5+5]

8.a) What are the limitations of capital budgeting?
b) What is IRR? How is it arrived at? [6+4]

OR

9. Phoenix Company is considering two mutually exclusive investments, Project P and Project Q. The expected cash flow of these projects are as follows:

Year	Project P (Rs. thousands)	Project Q (Rs. thousands)
0	1,000	1,600
1	200	400
2	600	400
3	250	600
4	1,000	800
5	4,000	200

Which project would you choose if the cost of the capital is 10%? [10]

10.a) What is meant by three column cash- book? Give a specimen copy of it.
b) Distinguish between Accrual basis of accounting and Cash basis of accounting. [5+5]

OR

11. From the following data, calculate: a) Net worth to debt. b) Inventory turnover c) Net profit ratio and d) return on total assets. [10]

Particulars	Rs.
Sales	25,20,000
Cost of sales	19,20,000
Net profit	3,60,000
Inventory	8,00,000
Other current assets	7,60,000
Fixed assets	14,40,000
Net worth	15,00,000
Debt	9,00,000
Current liabilities	6,00,000

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